

particularly those listed in developing countries. However, there is an alternative that allows investors to capture the superior long-term growth prospects of international markets without taking all the risks involved in doing so. Global businesses such as Nestlé, Diageo, Pernod Ricard, Unilever, Colgate, Ambev, Heineken, Mastercard, and Visa earn a significant share of their revenues from their operations outside the United States. The shares of these companies are listed in the United States or have American or global depository receipts that trade in New York or London, and these companies adhere to the highest regulatory, accounting, and governance standards. By investing in these global businesses, investors benefit from the growth prospects of international markets. Even more enticing, at times these businesses trade at a significant discount to their counterparts in the developing markets, enabling investors to capture all the upside of global growth, without the risks uniquely inherent in offshore securities, and with a larger margin of safety.

Company	Headquarters	Market Capitalization 6/30/2009	% off Sales from International Markets	6/30/09 NTM P/E	6/30/09 EV/ EBIT
Diageo	United Kingdom	24,001	65.1%	13.8	11.9
United Spirits	India	93,363	100.0%	27.0	13.7
Heineken	Netherlands	12,922	68.2%	17.0	10.2
SAB Miller	United Kingdom	30,661	99.4%	13.4	15.5
United Breweries	India	29,465	100.0%	45.9	16.9
Nestlé	Switzerland	149,358	67.4%	20.1	14.1
Nestlé India	India	192,986	100.0%	32.5	20.3
Unilever	United Kingdom	46,673	83.6%	11.7	10.1
Hindustan Lever	India	617,593	100.0%	29.8	22.8